

SEBI Investor Education: Basics of Investing

A Systematic Investment Plan (SIP) lets an investor put a small fixed amount into a mutual fund at regular intervals, usually every month. Because the amount is invested across market ups and downs, the average purchase cost can be smoothed over time. SIP returns are not guaranteed and depend on market performance.

Mutual funds pool money from many investors and are managed by professional fund managers who invest in a diversified basket of stocks or bonds. Diversification spreads risk so that the poor performance of one holding has a smaller effect on the whole portfolio.

No investment in market-linked products carries a guaranteed return. Be cautious of anyone promising fixed or assured high returns, as such promises are a common sign of a fraudulent scheme. Always verify that an investment adviser is registered with SEBI before acting on their advice.

Before investing, read the scheme information document and understand the risk level, the expense ratio, and the exit load. Past performance does not guarantee future results.